

How Would Free Childcare Affect the National Labor Supply?

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United States View on Childcare

[Facts]

- : 93% of fathers and 72% of mothers with children at home are in the labor force
- : There is a **child care tax credit** for working parents
- : Child care costs a typical family about a third of its income
- : Half of Americans live in places with no licensed child care provider
- : Or, where there are **three times** as many children as child care slots
- : Just 10 percent of providers are considered to be high quality



[Beliefs]

- : A moral argument is played out in the topic of childcare
- : **Claim:** It's proper for mothers (at least certain ones) to be at home with their children
- : Certain scholars and far-right politicians argue **traditional gender roles** and **family structure** should be preserved to avoid issues like abortion rights and fertility declines

"As child care costs increase over the decade, what happens is we see mothers are spending more time in child care"; "You're boxing women out of the labor market."

- Ms. Leah Ruppanner, Professor of Sociology at the University of Melbourne

Child Tax Credit (CTC) Rates



Pre-ARP Rules (and 2022 onward)	2021 Rules (The “American Families Plan”)
Up to \$2,000 per child under age 17	Up to \$3,600 per child under age 6 Up to \$3,000 per child ages 6 to 17
[Credit Rates v. Gross Income]	[Credit Rates v. Gross Income]
A one-part phase out: 50 percent credit rate	A two-part phase out: 50 percent credit rate
: Credit decreases by 5 percent of adjusted gross income over \$200,000 for single parents (\$400,000 for married couples)	: Below \$125,000, qualify for the full percent : CDCTC rate then falls by 1 percentage point for each additional \$2,000 of adjusted gross income until the rate reaches 20 percent (at \$183,000) : CDCTC rate is reduced from 20 to 0 percent by 1 percentage point for each additional \$2,000 above \$400,000 of adjusted gross income : Credit fully phased out at \$438,000
Cap on the total credit amount - If credit exceeds taxes owed, families could receive up to \$1,400 as a tax refund	No cap on the total credit amount; fully-refundable credit

April 28, 2021: American Families Plans



Administrative proposal by Biden aims to support American families by making significant investments in education, childcare, etc.

Approximately 161 million payments of up to \$1,400 per person sent out to households

Takeaways:

1. **Free community college:** two years of community college tuition-free
2. **Enhanced Pell Grants:** award increased to cover at least two-thirds of tuition cost (at four-year public college)
3. **Childcare Subsidies:** more affordable for families with a focus on low- and middle-income families
4. **Paid Family Leave:** establish a national paid family and medical leave program
5. **Tax Credits:** extends and expands the Child Tax Credit

Other Countries: Policy and Effect



Norway: Havnes and Mogstad

- 18% increase in childcare availability through subsidies, only increased female labor force participation by 1.1%
- Price: based on income and number of kids, no more than 6% of income

Sweden

- Public childcare leads to higher female participation in the labor market for women with preschoolers
- However, more women already work more in Sweden than US
- Child 1 - pay 3% of household income, child 2 - pay 2%, child 1 - 1%

Canada (Québec)

- 14.9% childcare attendance, increased maternal labor supply by 7.7%

IPUMS Data & Variables



By how much would free childcare increase the national labor supply?

Variables:

- Labor Force Status
- Number of own children under age 5 in household
- Gender
- Age (focusing 18-65)

IPUMS Calculations



By how much would free childcare increase the national labor supply?

- For people age 18-65:
 - 150,293,800 in the labor force
 - 52,030,300 **not** in the labor force
- For people age 18-65 with kids under age 5:
 - 3,954,000 **not** in the labor force
 - 3,428,800 **women are not** in the labor force (87% women)
- 21,121,500 children under 5

7.6% of people not in the labor force have kids under the age of 5



Labor Supply Increase



Maximum total increase of
7.6% (total men and women w/
children age under 5)

Average increase in maternal
labor supply in response to a
change in childcare policy is
6.6% (using Canada, Germany,
and England)

Estimated increase of 227,432
mothers joining the labor force

TABLE 1

Universal, full-time child care allows more women to participate in the labor force

Notable child care and maternal labor force participation studies

Country	Type of intervention	Effect on maternal labor force participation
Canada (Québec)	Phased-in universal child care from 1997 to 2000, with a \$5–\$7 per day fee for parents	+7.7 percentage points (for women in 2-parent families)
Germany	Beginning in 1996, introduced free part-time child care for 3- and 4-year-olds	+6.5 percentage points
Chile	Beginning in 2006, introduced free full-time child care available for children younger than age 5	+8.8 percentage points (for mothers of toddlers)
Israel	Beginning in 1999, gradual rollout of compulsory free preschool for all 3- and 4-year-olds	+8.1 percentage points
England	Free full-time child care at age 4 (30 hours per week)	+5.7 percentage points
	Free part-time child care at age 3 (15 hours per week)	+2.1 percentage points

Sources: Michael Baker, Jonathan Gruber, and Kevin Milligan, "Universal Child Care, Maternal Labor Supply, and Family Well-Being," *Journal of Political Economy* 116 (4) (2008): 709–745; Pierre Lefebvre and Philip Merrigan, "Child-Care Policy and the Labor Supply of Mothers with Young Children: A Natural Experiment from Canada," *Journal of Labor Economics* 26 (3) (2008): 519–548; Mike Brewer and others, "Free Childcare and Parents' Labour Supply: Is More Better?" (Bonn, Germany: IZA - Institute of Labor Economics, 2016); Stefan Bauemischuster and Martin Schlotter, "Public child care and mothers' labor supply—Evidence from two quasi-experiments," *Journal of Public Economics* 123 (2015): 1–16; Claudia Martínez and Marcela Peticarà, "Childcare effects on maternal employment: Evidence from Chile," *Journal of Development Economics* 125 (2017): 127–137; Analia Schlosser, "Public Preschool and the Labor Supply of Arab Mothers: Evidence from a Natural Experiment," *The Economic Quarterly* 53 (3) (2006): 517–553.

Drawbacks



- Exact data was not available on what the impact of free childcare would be in the U.S.
- Data was averaged over interventions in other countries
 - Each of these interventions were slightly different
 - Most of it was only accounting for women
- Varying cultural and economical differences amongst countries
 - Work-life balance
 - Capitalistic influences
 - Familial norms
- Do not have enough data to estimate male participation following child care increases
 - Creates a lower end estimate of participation following proposal

Alternative Policies



Flexible Work

- Telecommuting/flexible hours can help parents balance work & childcare responsibilities more effectively
- Reduces reliance on formal childcare services
- Disproven: studies show during Covid-19 pandemic 2.5% of women left labor force due to lack of childcare, although participating in remote work

Parental Leave

- Mandated parental leave allows for more time for parents to take care of their children during their formative years
- Reduces need for formal childcare in early childhood
- Studies in Germany indicate greater initial leave policies lead to greater involvement in labor force later on in a child's life

Subsidized Care/Tax Credits

- Government can focus on subsidizing childcare costs for low-income families
 - Especially single parents or families with multiple children
- Tax credits or deductions could offset cost of childcare
 - Form of financial assistance

Our Proposal



- Free childcare for children 4 and under due to most kids beginning kindergarten at age 5
- Average cost of childcare per year: $\$12,000 \times (21,121,500) = \253 billion
- Funded by **income taxes**
 - Determined by number of children
 - 1st child = 3%, 2nd child = 2%, 3rd child = 1%
 - Stop increasing taxes after 3rd child

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